



MANAGEMENT ACCOUNT

FOR THE PERIOD ENDED 31 March 2023

COMPREHENSIVE INCOME STATEMENT

Gross premium written

Gross premium income

Net premium income

Underwriting Expenses

Claims paid

Changes in contract liabilities

Underwriting Profit/(Loss)

Investment income

Operating expenses

Profit/(Loss) before tax

Profit/(Loss) after tax

STATEMENT OF FINANCIAL POSITION

Financial Assets

Investment Properties

Total assets

Insurance contract liabilities

investment contract liabilities

Total liabilities

Total Equity

(Loss)/Earnings per share (basic) - in kobo

Solvency Margin

Asset Cover

KEY RATIOS

CLAIMS/PREMIUM (LOSS RATIO)

UW EXPENSES/PREMIUM (EXPENSE RATIO)

COMBINED RATIO

UNDERWRITING MARGIN

OPERATING EXPENSES/PREMIUM

INVESTMENT INCOME/PREMIUM

PROFIT/(LOSS) MARGIN

RETURN ON ASSET

RETURN ON EQUITY

Company

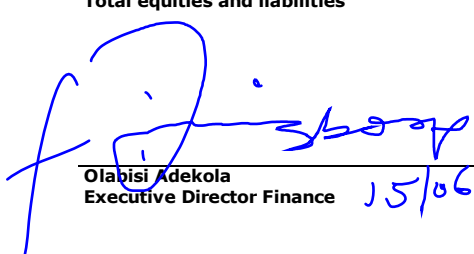
ACTUAL	ACTUAL	Variance	%
31-Mar-23	31-Mar-22		
N'000	N'000	N'000	
1,876,546	2,356,388	(479,842)	-20%
1,870,627	2,203,636	(333,009)	-15%
1,804,324	2,135,820	(331,495)	-16%
(377,896)	(383,687)	5,791	-2%
(1,233,956)	(1,193,445)	(40,511)	3%
(1,204,959)	(78,482)	(1,126,477)	1435%
(993,349)	480,205	(1,473,554)	-307%
145,138	559,208	(414,070)	-74%
(520,590)	(586,912)	66,322	-11%
(1,710,333)	1,099,263	(2,809,596)	-256%
(1,718,970)	1,071,781	(2,790,751)	-260%

Company

ACTUAL	ACTUAL	Variance	%
31-Mar-23	31-Dec-22		
N'000	N'000	N'000	
4,997,670	6,269,671	(1,272,001)	-20%
8,030,000	8,030,000	(1)	0%
48,311,903	49,528,822	(1,216,919)	-2%
41,644,010	41,134,167	509,844	1%
4,003,798	4,077,992	(74,195)	-2%
47,680,439	47,178,388	502,051	1%
631,464	2,350,433	(1,718,969)	-73%
(0.08)	0.05	(0.14)	-260%
(7,269,786)	(4,827,913)	(2,441,873)	51%
(30,460,902)	(29,307,044)	(1,153,858)	3.94%
66%	51%	0	30%
20%	16%	0	24%
86%	67%	0	28%
-55%	22%	(1)	-345%
28%	25%	0	11%
8%	24%	(0)	-67%
-91%	47%	(1)	-295%
-4%	2.2%	(0)	-264%
-272%	-46%	(2)	497%
2			

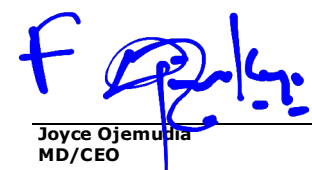
STATEMENT OF FINANCIAL POSITION
AS AT 31 MARCH 2023

	Note	Company	
		ACTUAL	ACTUAL
		31-Mar-23	31-Dec-22
		N'000	N'000
ASSETS			
Cash and cash equivalents	6	944,040	1,064,007
Financial assets	7		
'-fair value through profit or loss-equities		133,946	133,103
'-fair value through profit or loss-bonds		4,997,670	6,269,671
'- fair value through Other comprehensive income		29,845,639	29,845,639
'- Amortised cost		53,460	62,292
Trade receivables	8	-	-
Reinsurance assets	9	178,611	175,214
Other receivables and prepayments	10	2,316,487	2,259,796
Investment properties	11	8,030,000	8,030,000
Investment in subsidiary	12	542,729	542,729
Investment in Associate	13	-	-
Retirement benefit assets	22	-	-
Deferred Tax Asset	25b	146,476	146,476
Intangible assets	14	43,294	33,360
Property plant and equipment	15	706,689	743,045
Right of Use Assets	16	172,863	23,490
Statutory deposit	17	200,000	200,000
Total assets		48,311,903	49,528,822
LIABILITIES			
Insurance contract liabilities	18	41,644,010	41,134,167
Investment contract liabilities	19	4,003,798	4,077,992
Trade payable	20	711,485	605,301
Other payables and accruals	21	623,933	642,551
Employee benefit liabilities	22i	28,077	47,346
Borrowings	23	11,910	22,444
Tax payable	24	565,119	556,481
Deferred tax liability	25	92,107	92,107
Total liabilities		47,680,439	47,178,388
EQUITY			
Share capital	26	10,292,500	10,292,500
Share premium	26	14,365,133	14,365,133
Contingency reserves	27	1,941,460	1,922,694
Retained earnings	28	(41,344,902)	(39,607,164)
Translation reserve			
Fair value reserves	29	15,377,272	15,377,272
Total equity		631,464	2,350,433
Total equities and liabilities		48,311,903	49,528,822



Olabisi Adekola
Executive Director Finance

15/06/2023



Joyce Ojemudia
MD/CEO

STATEMENT OF COMPREHENSIVE INCOME
FOR THE PERIOD ENDED 31 MARCH 2023

	Note	Company		VARIANCE	
		ACTUAL	ACTUAL		
		31-Mar-23	31-Mar-22		
		N'000	N'000	N'000	
Gross premium written	30	1,876,546	2,356,388	(479,842)	-20%
Unearned premium		(5,919)	(152,752)	146,833	-96%
Gross premium income		1,870,627	2,203,636	(333,009)	-15%
Insurance premium ceded to reinsurers	31	(66,302)	(67,816)	1,514	-2%
Net premium income		1,804,324	2,135,820	(331,495)	-16%
Fees and commission income	32	19,138	-	19,138	#DIV/0!
Net underwriting income		1,823,462	2,135,820	(312,357)	-15%
Insurance claims incurred and loss adjustments expenses	33	(1,233,956)	(1,193,445)	(40,511)	3%
Insurance claims incurred recovered from reinsurers		-	-	-	
Underwriting expenses	34	(377,896)	(383,687)	5,791	-2%
Changes in long term insurance contracts	35	(1,204,959)	(78,482)	(1,126,477)	1435%
Net underwriting expenses		(2,816,811)	(1,655,614)	(1,161,197)	70%
Net underwriting profit		(993,349)	480,205	(1,473,554)	-307%
Other income	36	39,933	99,261	(59,328)	-60%
Impairment charges		-	-	-	#DIV/0!
Fair value gain/(loss) on investment properties		-	-	-	
Fair value (gain)/loss (FVTPL)	37	(336,120)	547,841	(883,961)	-161%
Investment income	38	145,138	559,208	(414,070)	-74%
Profit/(Loss) from investment contracts		(62,165)	(7,057)	(55,108)	781%
Share of profit of equity accounted investee		-	-	-	#DIV/0!
Employee benefit expenses	41	(206,570)	(189,906)	(16,664)	9%
Other operating and administrative expenses	42	(314,020)	(397,006)	82,987	-21%
Impairment loss Allowance (ECL)	43	16,819	6,717	10,102	0%
Finance cost	44	-	-	-	#DIV/0!
Profit/(Loss) before tax		(1,710,333)	1,099,263	(2,809,596)	-256%
Income tax expense	45	(8,637)	(27,482)	18,845	-69%
Profit/(Loss) for the year		(1,718,970)	1,071,781	(2,790,751)	-260%
Profit/(Loss) attributable to:					
- Owners of the parent				-	
- Non-controlling interests				-	
Other comprehensive income					
<i>Items that may be subsequently reclassified to profit or loss</i>					
				-	
				-	
Foreign exchange translation gain/(loss)				-	
		-	-	-	
Items that will not be subsequently reclassified to profit or loss					
				-	
Gain on revaluation of property, plant and equipment (net of taxes)		-	-	-	
Additional reserve on sale and reacquisition of investment in associate		-	-	-	
Change in value of unquoted equities FVOCI (net of taxes)		-	-	-	
		-	-	-	
		-	-	-	
Other comprehensive income for the year		-	-	-	
Total comprehensive income for the year		(1,718,970)	1,071,781	(2,790,751)	-260%
Total comprehensive income attributable to:					
- Owners of the parent		(1,718,970)	1,071,781	(2,790,751)	-260%
- Non-controlling interests				-	
		(1,718,970)	1,071,781	(2,790,751)	-260%

AFRICAN ALLIANCE INSURANCE PLC
STATEMENT OF CHANGES IN EQUITY - COMPANY
FOR THE PERIOD ENDED 31 MARCH 2023

	Share capital N'000	Share premium N'000	Contingency reserve N'000	Fair value reserve N'000	Retained earnings N'000	Total N'000
01-Jan-23	10,292,500	14,365,133	1,922,694	15,377,272	(39,607,164)	2,350,435
<i>Total comprehensive income for the year</i>						-
Treasury shares						-
Premium on acquisition of Associate						-
Profit for the year	-				(1,718,970)	(1,718,970)
Other comprehensive income for the year	-			-		-
Total Comprehensive income for the period	-	-	-	-	(1,718,970)	(1,718,970)
<i>Transactions with owners, recorded directly in equity</i>						
Transfer to contingency reserve	-		18,765		(18,765)	-
Total transactions with owners, recognised directly in equity	-	-	18,765	-	(18,765)	-
31-Mar-23	10,292,500	14,365,133	1,941,459	15,377,272	(41,344,900)	631,465

STATEMENT OF CHANGES IN EQUITY - COMPANY
FOR THE PERIOD ENDED 31 DECEMBER 2021

	Share capital N'000	Share premium N'000	Contingency reserve N'000	Fair value reserve N'000	Retained earnings N'000	Total N'000
01-Jan-22	10,292,500	14,365,133	1,854,545	1,616,522	(32,421,384)	(4,292,684)
<i>Total comprehensive income for the period</i>						-
Treasury shares						-
Premium on acquisition of Associate						-
Profit for the year	-				(7,117,631)	(7,117,631)
Other comprehensive Loss for the year				13,760,750		13,760,750
Total Comprehensive income for the period	-	-	-	13,760,750	(7,117,631)	6,643,119
<i>Transactions with owners, recorded directly</i>						
Transfer to contingency reserve			68,149		(68,149)	-
Total transactions with owners, recognised directly in equity	-	-	68,149	-	(68,149)	-
31-Dec-22	10,292,500	14,365,133	1,922,694	15,377,272	(39,607,164)	2,350,435

**STATEMENT OF CASH FLOWS
FOR THE PERIOD ENDED 31 MARCH 2023**

	Company	
	31-Mar-23	31-Dec-22
	N'000	N'000
Cash flows from operating activities		
Cash premium received	1,876,546	6,814,931
Premium received yet to be allocated	113,240	-
Cash received from deposit contract liabilities	13,374	642,676
Cash withdrawals from deposit contract liabilities	(149,776)	(55,411)
Cash Claims recovered	-	(193,659)
Dividend received	-	14,809
Claims paid	(1,934,991)	(9,464,118)
Cash paid to reinsurers/ coinsurers	(66,302)	(215,179)
Commission received	19,138	62,570
Maintenance expenses paid	(175,466)	(649,356)
Acquisition costs	(202,430)	(614,081)
Employee benefits paid	(206,570)	(953,791)
Other operating expenses paid	(258,496)	(1,205,136)
Other income received	29,266	203,469
Interest received	145,138	989,179
Income tax paid	-	(30,000)
	<u>(797,330)</u>	<u>(4,653,097)</u>
Net cash from operating activities		
Cash flow from investing activities:		
Purchases of plant and equipment	1,022	(50,595)
Purchase of intangible assets	(13,438)	(18,857)
Capital Improvement of investment properties	-	-
Proceeds from disposal of property and equipment	213	930
Proceeds from disposal of investment in associate company	0	-
Capital injection made to subsidiary	(0)	-
Proceeds from disposal of investments-equities FVTPL	-	-
Purchase of financial assets- Bonds FVTPL	-	(935,352)
Purchase of financial assets - Amortised cost	-	-
Redemption of financial assets - Bonds	702,501	4,576,595
Cash received from redemption of bond	136,054	916,135
Redemption of financial assets - Amortised cost	8,831	24,327
Right of Use	(165,036)	(62,129)
	<u>670,148</u>	<u>4,451,054</u>
Net cash used in investing activities		
Cash flow from financing activities:		
Purchase/Proceeds from disposal of associate	-	-
Repayment of borrowings	(10,534)	(31,590)
Proceeds from borrowings	-	-
	<u>(10,534)</u>	<u>(31,590)</u>
Net cash used in financing activities		
Net increase/(decrease) in cash and cash equivalents	<u>(137,716)</u>	<u>(233,633)</u>
Cash and cash equivalent at beginning of year	1,083,342	1,316,975
Net increase/decrease in cash and cash equivalents	<u>(137,716)</u>	<u>(233,633)</u>
Cash and cash equivalent at end of period	<u>945,626</u>	<u>1,083,342</u>

REVENUE ACCOUNT
FOR THE PERIOD ENDED 31 MARCH 2023

	INDIVIDUAL LIFE N'000	GROUP LIFE N'000	ANNUITY N'000	TAKAFUL N'000	ESUSU	31-Mar-23 N'000
Gross Premium written	705,799	893,985	18,114	167,384	91,264	1,876,546
Unearned Premium		(5,919)				(5,919)
Gross Premium Income	705,799	888,065	18,114	167,384	91,264	1,870,627
Reinsurance Expense		(66,302)	-	-	-	(66,302)
Net Premium Income	705,799	821,763	18,114	167,384	91,264	1,804,324
Fees and Commission income	-	19,138	-	-	-	19,138
NET UNDERWRITING INCOME	705,799	840,901	18,114	167,384	91,264	1,823,462
<u>Insurance benefits</u>						-
Net Claims expenses	(413,552)	(165,610)	(1,023,119)	(95,270)	(237,441)	(1,934,991)
Reinsurance claims		-	-	-		-
Outstanding Claims & IBNR	(309,169)	1,010,204				701,035
Changes in contract liabilities	(204,959)		(1,000,000)		-	(1,204,959)
Net claims expenses	(927,680)	844,594	(2,023,119)	(95,270)	(237,441)	(2,438,915)
<u>Underwriting Expenses:</u>						-
Acquisition expenses	(61,526)	(140,904)	-	-	-	(202,430)
Maintenance expenses	(62,730)	(105,085)	(571)	(6,903)	(178)	(175,466)
	(124,256)	(245,989)	(571)	(6,903)	(178)	(377,896)
Underwriting Profit/(Loss)	(346,137)	1,439,507	(2,005,575)	65,211	(146,354)	(993,349)
Investment Income	14,514	14,514	101,597	7,257	7,257	145,138
Operating Expenses	(229,060)	(229,060)	(10,412)	(26,029)	(26,029)	(520,590)
Other Line items	(25,615)	(25,615)	(276,641)	(6,831)	(6,831)	(341,532)
Profit/(Loss) Before Tax	(586,298)	1,199,346	(2,191,032)	39,607	(171,957)	(1,710,333)

AFRICAN ALLIANCE INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS

1. General Information

African Alliance Insurance Company is a public limited company incorporated and domiciled in Nigeria. The registered office is located at 54 Awolowo Road, Ikoyi, Lagos.

The company is principally engaged in the business of providing risk underwriting for life, related financial and pension services, aviation and hospitality services to its customers.

2. Summary of significant accounting policies

The principal accounting policies applied in the preparation of these financial statements are disclosed under General information on the Reporting Entity and Summary of Significant Accounting Policies. These policies have been consistently applied to all the years presented unless otherwise stated.

3 Solvency

The assets backing the life funds are as follows:

	Company	
	2023	2022
	N000	N000
Government Bonds	4,997,670	6,269,671
Cash and bank balances	944,040	1,064,007
Investment in quoted equity	133,946	133,103
Total	6,075,656	7,466,781

4 Management of Financial risk

The Group is exposed to various financial risks in connection with its current operating activities, such as foreign currency risk, interest rate risk, credit risk, market risk and liquidity risk. These risks contribute to the key financial risk that the proceeds from the Group's financial assets are insufficient to fund the obligations arising from insurance policy contracts.

The Company manages these risks through the activities of the Audit Committee and the Investment Committee. Each committee meets at least four times per annum to discuss financial risk issues. Management is responsible for implementing recommendations that have been agreed and reporting back to the relevant committee.

The Audit Committee is a committee of the Board of African Alliance Insurance Plc and is responsible for the implementation and monitoring of overall risk management, internal financial controls and financial and actuarial reporting within the Group. The main responsibilities of this Committee are:

- i) Setting and overseeing the overall standard for financial and actuarial reporting, risk management and internal controls within the Group;
- ii) Monitoring the effectiveness of business risk management processes in the Group;
- iii) Reviewing and assessing the quality of the work done by professionals responsible for financial and actuarial reporting, risk management and internal control;
- iv) Engaging in discussions with external and internal auditors on the quality and acceptability of the control environment and reporting

The Investment Committee is a management committee and is responsible for

- i) ensuring that insurance and investment contract liabilities are matched with appropriate supporting assets based on the type of benefits payable to the contract holders;
- ii) ensuring that the long-term investment return on assets supporting policy liabilities are sufficient to fund policyholders' reasonable benefit expectations and the shareholders' profit entitlement;
- iii) the implementation and monitoring of the asset management process to ensure that the risks arising from trading positions are effectively managed within the pre-determined risk parameters.

4.1 Market risk

The business's operations are exposed to market risk. Market risk is the risk of adverse financial impact as a consequence of market movements such as currency exchange rates, interest rates and other price changes. Market risks arises due to fluctuations in both value of assets and liabilities. The company has established policies and procedures in order to manage market risk.

The acquisition of policyholders' assets is based on the design of the product and marketing descriptions. Within these parameters, investments are managed with the aim of maximising policyholder returns while limiting risk to acceptable levels within the framework of statutory requirements. The focus of risk measurement and management is to ensure that the potential risks inherent in an investment are reasonable for the future potential reward, exposure to investment risk is limited to acceptable levels, premium rates are adequate to compensate for investment risk and an adequate reserving policy is applied for long-term policy liabilities. The diverse product range requires a variety of approaches to the management of risk; these range from portfolio management practices and techniques such as optimization of expected risks and rewards based on investment objectives, to asset-liability matching in support of statement of financial position obligations.

4.2 Foreign exchange risk

Foreign exchange risk is the risk associated with movement in the foreign exchange prices from foreign currency denominated transactions which the Group is exposed to.

The Group is exposed to foreign exchange currency risk primarily through certain transactions denominated in foreign currency. The Group is exposed to foreign currency denominated in dollars and Pound through bank balances in other foreign currencies.

The Group manages its exposure to foreign exchange risk using sensitivity analysis to assess potential changes in the value of foreign exchange positions and impact of such changes on the Group's income. There have been no major changes from the previous year in the exposure to risk or policies, procedures and methods used to measure the risk.

4.3 Liquidity risk

Liquidity risk is the risk that the Company is unable to meet its obligations when they fall due as a result of policyholder benefit payments, cash requirements from contractual commitments, or other cash outflows, such as debt maturities. Such outflows would deplete available cash resources for operational, trading and investments activities. In extreme circumstances, lack of liquidity could result in reductions in the consolidated balance sheet and sales of assets, or potentially an inability to fulfil policyholder commitments. The risk that the Group will be unable to do so is inherent in all insurance operations and can be affected by a range of institution-specific and market-wide events including, but not limited to, credit events, merger and acquisition activity, systemic shocks and natural disasters.

Monitoring and reporting take the form of cash flow measurement and projections for the next day, week and month respectively, as these are key periods for liquidity management. The starting point for those projections is an analysis of the undiscounted contractual cashflow at maturity of the financial liabilities and the expected collection date of the financial assets.

All policyholder funds are invested in appropriate assets to meet the reasonable benefit expectations of policyholders, which include the expectation that funds will be available to pay out benefits as required by the policy contract. The disclosure in note 6 demonstrate that the Group has significant liquid resources. The value for policyholders' liabilities and the assets backing them are as per the carrying amount in the statement of the financial position.

The maturity profile of the total policyholders' liabilities and assets backing them is shown below:

Company 31-Mar-23	Carrying amount N'000	0-3 months N'000	3 to 9 months N'000	9 to 1 year N'000	1 to 5 years N'000	> 5 years N'000	Total N'000
Trade payables	711,485	71,148	177,871	249,020	106,723	106,722.69	711,485
Other liabilities	1,229,039	122,904	307,260	430,163	184,356	184,355.78	1,229,039
Investment linked contract liabilities	4,003,798	400,380	1,000,949	1,401,329	600,570	600,569.63	4,003,798
Total financial liabilities	5,944,321	594,432	1,486,080	2,080,512	891,648	891,648	5,944,321
Cash and bank balances	944,040	94,404	236,010	330,414	141,606	141,606.04	944,040
Marketable investment securities	34,977,255	1,748,863	1,049,318	2,448,408	1,748,863	27,981,804	34,977,255
Trade receivables	-	-	-	-	-	-	-
Reinsurance assets	178,611	-	-	178,611	-	-	178,611
Other receivables	2,316,487	231,649	579,122	810,770	347,473	347,473.05	2,316,487
Total financial assets	38,416,393	2,074,915	1,864,449	3,768,203	2,237,942	28,470,883	38,416,393
Net financial assets and liabilities	32,472,072	1,480,484	378,370	1,687,691	1,346,294	27,579,234	32,472,071
Insurance contract liabilities - Life fund	(41,644,010)	(1,506,222)	(2,008,296)	(3,213,273)	(3,313,688)	(31,602,533)	(41,644,010)
Net policyholders assets and liabilities	(9,171,938)	(25,738)	(1,629,926)	(1,525,582)	(1,967,394)	(4,023,299)	(9,171,939)

31-Dec-22	Carrying amount N'000	0-3 months N'000	3 to 9 months N'000	9 to 1 year N'000	1 to 5 years N'000	> 5 years N'000	Total N'000
Trade payables	605,301	181,590	211,855	211,855	-	-	605,301
Other liabilities	1,268,821	253,764	317,205	380,646	317,205	-	1,268,821
Investment linked contract liabilities	4,077,992	611,699	1,019,498	611,699	1,835,096	-	4,077,992
Total financial liabilities	5,952,115	1,047,054	1,548,559	1,204,201	2,152,302	-	5,952,115
Cash and bank balances	1,064,007	159,601	266,002	372,402	159,601	106,401	1,064,007
Marketable investment securities	36,248,413	1,812,421	1,268,694	2,718,631	5,074,778	25,373,889	36,248,413
Trade receivables	-	-	-	-	-	-	-
Reinsurance assets	175,214	-	-	175,214	-	-	175,214
Other receivables	2,259,796	338,969	564,949	790,928	338,969	225,980	2,259,796
Total financial assets	39,747,429	2,310,991	2,099,645	4,057,176	5,573,348	25,706,269	39,747,429
Net financial assets and liabilities	33,795,314	1,263,938	551,086	2,852,975	3,421,046	25,706,269	33,795,314
Insurance contract liabilities - Life fund	(41,134,167)	(1,315,165)	(1,753,554)	(2,805,686)	(2,893,364)	(32,366,398)	(41,134,167)
Net policyholders assets and liabilities	(7,338,852)	(51,228)	(1,202,468)	47,289	527,683	(6,660,129)	(7,338,852)

The maturity of non-derivative financial liabilities and financial assets have been compiled based on undiscounted cash flows, which include estimated interest payments.

4.4 Capital management policies and procedures

The Company manages its capital to ensure that the company will be able to continue as going concern and comply with the regulators' capital requirements while maximising the return to stakeholders through the optimisation of the debt and equity balance. The capital structure of the company consists of equity attributable to equity holders of the parent, comprising issued capital, reserves and retained earnings.

The Company's Issued share capital as at 31 March, 2023 is N10,292,500 (2022:N10,292,500). The company is in compliance with the minimum capital requirement of N2 billion as stipulated by the Insurance Act.

	2023 N'000	2022 N'000
Share capital	10,292,500	10,292,500
Share premium	14,365,133	14,365,133
Contingency reserves	1,941,460	1,922,694
Fair value reserves	15,377,272	15,377,272
Translation reserve	-	-
Retained earnings	(41,344,902)	(39,607,164)
	631,464	2,350,434

The Company's policy is to maintain a strong capital base to maintain investor, creditor and market confidence and to sustain the future development of the business. Management uses regulatory capital ratios to monitor its capital base. Capital is allocated between specific operations and activities and to a large extent driven by optimisation of the return achieved on the capital allocated. The amount of capital allocated to each activity is based primarily on the regulatory capital. In some cases the regulatory requirements do not fully reflect the varying degree of risk associated with different activities. In such cases, the capital requirements may be flexed to reflect differing risk profiles, subject to the overall level of capital to support a particular operation not falling below the minimum required for regulatory purposes. The process of allocating capital to specific operations or activities is undertaken independently of those responsible for the operation by a committee.

The National Insurance Commission (NAICOM) specifies the minimum amount and type of capital that must be held by the company to cover the insurance liabilities. The regulator measures the financial strength of insurance companies using the capital adequacy requirements for the category of company. This test compares insurer's capital against the risk profile.

4.5 Company Hypothecation

Item		Life	Annuity	Investment Contract	Total (Admissible)
Insurance Contract Liabilities		10,041,478	31,602,533		41,644,010
Investment Contract Liabilities			-	4,003,798	4,003,798
Gross Insurance Funds		10,041,478	31,602,533	4,003,798	45,647,808
Less					
Reinsurance Receivables					
1	Reinsurance expenses prepaid		-		-
2	Reinsurers' share of Claims expense paid	(65,495)	-		(65,495)
3	Reinsurers' share of Unearned premium reserve	(21,583)	-		(21,583)
4	Reinsurers' share of Incurred but not reported claims	(91,533)	-		(91,533)
5	Others (specify)	-	-	-	-
Net Insurance Funds		9,862,867	31,602,533	4,003,798	45,469,197
Admissible Assets					
1	Cash and Cash Equivalents	506,687	358,791	78,562	944,040
2	Treasury bills and Government Bonds	2,471,696	492,839	2,086,595	5,051,130
3	Corporate Bonds & Debenture				-
4	Quoted Shares	95,305	-	38,641	133,946
5	Unquoted Shares	3,139,828	110,000	400,000	3,649,828
6	Loan to Policy holders	149,351	-		149,351
7	Investment Properties	3,500,000	180,000	1,400,000	5,080,000
	Total Admissible Assets	9,862,867	1,141,630	4,003,798	15,008,295
SURPLUS(DEFICIT) IN ASSETS COVER		0	(30,460,903)	0	(30,460,902)

0

4.6 Minimum Capital requirement

The company did not meet the minimum capital requirement of N2 billion as stipulated by the Insurance Act

The Solvency Margin for African Alliance Insurance Plc. as at 31 December 2022 is as follows:			
	Total	Admissible	Inadmissible
	N'000	N'000	N'000
Assets			
Cash & Cash Equivalent	944,040	944,040	-
Financial Assets	35,030,715	35,030,715	-
Trade Receivable	-	-	-
Reinsurance Assets	178,611	178,611	-
Other Receivable & Prepayment	2,316,487	5,628	2,310,859
Investment properties	8,030,000	5,080,000	2,950,000
Investment in Subsidiary	542,729	-	542,729
Investment in Associate	-	-	-
Retirement benefit assets	-	-	-
Deferred Tax Asset	146,476	-	146,476
Intangible assets	43,294	-	43,294
Right of Use Assets	172,863	172,863	-
Property Plant & Equipment	706,689	706,689	-
Statutory Deposit	200,000	200,000	-
Total Assets (a)	48,311,903	42,318,546	5,993,358
Liabilities			
Insurance Contract Liabilities	41,644,010	41,644,010	-
Investment Contract Liabilities	4,003,798	4,003,798	-
Employee Benefit	28,077	28,077	-
Borrowing	11,910	11,910	-
Trade Payable	711,485	711,485	-
Other Payables & Accruals	623,933	623,933	-
Dividend Payable	-	-	-
Deferred Tax Liabilities	92,107	-	92,107
Tax Payable	565,119	565,119	-
Total Liabilities (b)	47,680,439	47,588,331	92,107
SOLVENCY MARGIN (a-b)		(5,269,786)	
Subject to Higher of:			
15% of Gross premium income	281,482		
or			
Minimum Capital Requirement		2,000,000	
Surplus/(Deficit) In Solvency Margin		(7,269,786)	
Gross Solvency ratio		-263%	
Net Solvency ratio		-363%	

5.0 The minimum capital required is compared with the equity maintained during the period in the table below:

	ACTUAL	
	31-Mar-23	31-Dec-22
	N'000	N'000
Shareholders' equity	631,464	2,350,433
Capital requirement on regulatory basis	2,000,000	2,000,000
Shortfall in Solvency Margin	(7,269,786)	(4,827,913)
Shortfall in Asset cover for contract liabilities	(30,460,902)	(29,307,044)

6 Cash and cash equivalent

	Company	
	Actual	Actual
	31-Mar-23	31-Dec-22
	N'000	N'000
Cash in bank (note 6.2)	198,648	357,620
Short-term bank deposits	745,393	706,387
	<u>944,040</u>	<u>1,064,007</u>
Short Term Bank Deposit		
Short Term Bank Deposit	746,978	725,722
ECL Impairment 01 January	(19,336)	(8,345)
Additional ECL Impairment during the year	<u>17,751</u>	<u>(10,991)</u>
	<u>745,393</u>	<u>706,386</u>

6.1 Movement in ECL adjustment on cash and cash equivalent is detailed below

	31-Mar-23	31-Dec-22
	N'000	N'000
At 1 January	19,336	8,345
Movement for the year	<u>(17,751)</u>	<u>10,991</u>
At 31 March	<u>1,585</u>	<u>19,336</u>

6.2 *Cash and cash equivalent for the purpose of cashflow*

Cash and cash equivalents includes cash in hand, deposits held at call with banks, other short-term highly liquid investments with original maturities of three months or less. They include:

	Company	
	Actual	Actual
	31-Mar-23	31-Dec-22
	N'000	N'000
Cash in bank	198,648	357,620
Short-term bank deposits	746,978	725,722
	<u>945,625</u>	<u>1,083,342</u>

7 Financial assets

7.1

FVTPL - Quoted equities

These are quoted equities in the Nigerian Stock Exchange, the fair value were determined by reference to the

	Company	
	Actual	Actual
	31-Mar-23	31-Dec-22
	N'000	N'000
Quoted equity securities	<u>133,946</u>	<u>133,103</u>
	<u>133,946</u>	<u>133,103</u>

7.1i	Movement in FVTPL - Quoted equities		
	At 1 January	133,103	147,544
	Disposal	-	-
	Fair value changes	843	(14,441)
		<u>133,946</u>	<u>133,103</u>
	At 31 March	<u>133,946</u>	<u>133,103</u>
7.2	FVTPL - Debt Securities (bonds)		
	Government and corporate bonds	4,995,795	5,930,834
	Fair value changes	1,875	338,837
		<u>4,997,670</u>	<u>6,269,671</u>
7.2i	Movement in FVTPL - Debt Securities (bonds)		
	At 1 January	6,269,671	10,414,572
	Reclassification from Amortized cost - FVTPL	-	-
	Additions	-	935,352
	Redemption/disposal	(1,409,930)	(4,502,955)
	Interest income on bond	136,054	(916,135)
	Fair value changes	1,875	338,837
		<u>4,997,670</u>	<u>6,269,671</u>
7.2ii	Net fair value gains/(loss)		
	Fair value gain on equity shares	843	(14,441)
	Fair value gain on Bonds	1,875	338,837
		<u>2,717</u>	<u>324,396</u>
	Fair value movement		
	As 1 January	564,583	225,746
	Fair value changes	1,875	338,837
		<u>566,458</u>	<u>564,583</u>
	At 31 March	<u>566,458</u>	<u>564,583</u>
7.3	FVOCI (Unquoted Equities)		
	The unquoted equities carried as fair value through Other Comprehensive Income financial assets were fair valued using the fund prices advised by the investee companies		
	Equity securities	29,845,639	29,845,639
		<u>29,845,639</u>	<u>29,845,639</u>

At 1 January	29,845,639	16,084,889
Additions		
Impairment (charge)/write back		
Fair value loss at the date of repurchase Note 29		
Disposal	-	-
Fair value changes	-	13,760,750
	<u>-</u>	<u>13,760,750</u>
At 31 March	<u>29,845,639</u>	<u>29,845,639</u>

7.4 Amortised cost - Debt securities

Commerical paper	(0)	(0)
Corporate bond	48,749	57,576
Promissory notes	-	-
Treasury Bills	6,201	6,205
ECL Adjustment	(1,489)	(1,489)
	<u>53,461</u>	<u>62,292</u>
	<u>53,461</u>	<u>62,292</u>

7.4i Movement in Amortised cost - Debt securities

At 1 January	63,781	88,108
Reclassification from Amortized cost - FVTPL	-	-
Additions	-	-
Redemption	(8,831)	(24,327)
ECL Adjustment	(1,489)	(1,489)
At 31 March	<u>53,461</u>	<u>62,292</u>
	<u>53,461</u>	<u>62,292</u>

7.4ii Movement in ECL adjustment on Amortised cost - Debt securities

At 1 January	(1,489)	(1,932)
Movement for the year	-	443
At 31 March	<u>(1,489)</u>	<u>(1,489)</u>
	<u>(1,489)</u>	<u>(1,489)</u>

16

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 31 March 2023**

		Company	
		Actual 31-Mar-23 N'000	Actual 31-Dec-22 N'000
9 (i)	Movement in reinsurance share of claims Incurred But Not Reported (IBNR)		
	At 1 January	91,533	91,533
	Changes during the year	-	-
	At 31 March	91,533	91,533
9 (ii)	Prepaid reinsurance		
	At 1 January	21,583	21,583
	Additions in the year	-	-
	Amortised in the year-reinsurance expense (see note 31)	-	-
	At 31 March	21,583	21,583
10	Other receivables and prepayments		
		Actual 31-Mar-23 N'000	Actual 31-Dec-22 N'000
	Mortgage Loans- staff	14,880	15,357
	Policy loans	179,073	178,360
	Due from agents	59,917	60,403
	Investment Income Recievable	0	0
	Prepayment Rent	5,149	4,416
	Prepayment - Others	145,340	86,377
	Staff Loans & Receivables	5,628	7,061
	Deposit for Investment (note 10.2)	1,628,616	1,628,616
	Due from related company (note 10.3)	1,600,267	1,600,267
	Stock of raw materials & consumables	1,736	2,126
	Staff share loans	2,131,790	2,131,790
	Other receivables	336,790	336,790
	Impairment allowance (note 10.1d)	6,109,185 (3,792,698)	6,051,563 (3,791,767)
		2,316,487	2,259,796
	Current	56,691	(450,394)
	Non-current	2,259,796	2,710,190
		2,316,487	2,259,796

		Company	
		Actual 31-Mar-23 N'000	Actual 31-Dec-22 N'000
10.1a	The Movement in Other receivables and prepayments		
	At 1 January	6,051,563	6,049,862
	Transfer from Loans and Receivables		
	Additional loans and receivables		
	Balances written off against provision		
	Movement during the year	57,622	-
	At 31 March	6,109,185	6,051,563
10.1b	Staff Share Loan:		
	This amount is made up of African Alliance Company Plc share purchased during the private placement exercise on behalf of staff of the company and this has been fully impaired.		
		Actual 31-Mar-23 N'000	Actual 31-Dec-22 N'000
10.1c	The Movement in impairment allowance is as follows		
	At 1 January	3,791,578	3,806,556
	Reclassification to/from loans and receivables		
	Impairment on loans and receivables (write off/write back)	1,120	(14,978)
	Impairment on Short term loan		
	Provision no longer required on Frenchies taken over by AAIC in 2017		
	Impairment on Other receivables		
	Balances written off against provision		
	At 31 March	3,792,698	3,791,578
10.1d	Impairment allowance		
	Policy Loans	29,721	32,618
	Mortgage staff loans	2,939	2,935
	Due from agents	4,248	236
	Investment income receivables	-	-
	Deposit for investment	-	-
	Due to related company	1,600,267	1,600,267
	Placement	-	-
	Staff Account Receivable	7,002	7,002
	Staff Share loan	2,131,790	2,131,790
	Short term loan		
	Other receivables	16,729	16,729
		3,792,697	3,791,578
		Actual 31-Mar-23 N'000	Actual 31-Dec-22 N'000
10.2	Deposits for shares/Investment		
	First Ghana Buidling Company Limited, Ghana		
	Paramount Hotel,Ghana		
	Fountian Trust Limited	-	
	Golden Securities Limited	-	
	Ghana Life Insurance Limited	1,628,616	1,628,616
		1,628,616	1,628,616
10.2i	Movement in Deposit for shares		
	At 1 January	1,628,616	1,628,616
	Additional injection of funds during the year	0	-
	At 31 March	1,628,616	1,628,616
10.3	Due from related company		
	Universal Insurance Company Plc	1,600,267	1,600,267
10.4	Movement in impairment allowance		
	At 1 January	1,600,267	1,600,267
	Impairment charge/(written back) for the year		-
	At 31 March	1,600,267	1,600,267

	Actual 31-Mar-23 N'000	Company	Actual 31-Dec-22 N'000
11 Investment properties			
At 1 January	8,030,000		8,030,000
Acquisition/improvement	-		-
Disposal	-		-
Transfer to Land & Building	-		-
Fair value gain on revaluation	-		-
	<u>8,030,000</u>		<u>8,030,000</u>
At 31 March			
Of the investment properties, the following relates to insurance Funds:			
Insurance funds	5,415,852		5,415,852
Shareholders funds	<u>2,614,148</u>		<u>2,614,148</u>
	<u>8,030,000</u>		<u>8,030,000</u>

The properties were valued by A.C. Otegbulu & Partners Estate surveyors & Valuers, a registered member of Financial Reporting Council of Nigeria (FRCN/2013/NIESV/0000001582), in December, 2021 on the basis of determining the open market value of the investment properties. The open market value of all the properties were determined using recent comparable market prices.

The properties are held for long term capital appreciation and rental income.

	Actual 31-Mar-23 N'000	Company	Actual 31-Dec-22 N'000
11.1 A brief descriptions of the properties held by Company are as follows			
Breadfruit Street Marina Lagos	1,990,000		1,990,000
Land at Pankere Village, Abijo, Ibeju Lekki	2,950,000		2,950,000
Plot C4, Rumuogba Layout, Aba road, Port Harcourt	870,000		870,000
Sani Abacha Estate, Abuja	885,000		885,000
73 Oyemekun street, Akure	29,000		29,000
Property at Millennium Housing estate	75,000		75,000
4 bedroom duplex, Ajah road, Ajah, Lagos	(0)		(0)
29A Akin Adesola Street, Victoria Island, Lagos	-		-
112 Broad Street, Lagos	1,231,000		1,231,000
Land & Residential properties held in Ghana Life Insurance	-		-
	<u>8,030,000</u>		<u>8,030,000</u>
A brief descriptions of the properties held by the company in its name are as follows:			
Breadfruit Street Marina Lagos	1,990,000		1,990,000
Property at Millennium Housing estate	75,000		75,000
4 bedroom duplex, Ajah road, Ajah, Lagos	(0)		-
73 Oyemekun street, Akure	29,000		29,000
112 Broad Street, Lagos	1,231,000		1,231,000
Sani Abacha Estate, Abuja	885,000		885,000
29A, Akin Adesola Street, Victoria Island	-		-
Plot C4, Rumuogba Layout, Aba road, Port Harcourt	870,000		870,000
	<u>5,080,000</u>		<u>5,080,000</u>
A brief descriptions of the properties held by the company in the name of Conau Limited are as follows:			
Land at Pankere Village, Abijo, Ibeju Lekki	2,950,000		2,950,000
	-		-
	<u>2,950,000</u>		<u>2,950,000</u>
Total investment property	<u>8,030,000</u>		<u>8,030,000</u>

11.2 Movement in Investment Properties					
Company					
Description	Opening balance N'000	Additions N'000	Disposal/Transfer N'000	Fair value N'000	Closing balance N'000
Breadfruit Street Marina Lagos	1,990,000	-	-	-	1,990,000
Land at Pankere Village, Abijo, Ibeju Lekki	2,950,000	-	-	-	2,950,000
Plot C4, Rumuogba Layout, Aba road, Port Harcourt	870,000	-	-	-	870,000
Sani Abacha Estate, Abuja	885,000	-	-	-	885,000
73 Oyemekun street, Akure	29,000	-	-	-	29,000
Property at Millennium Housing estate	75,000	-	-	-	75,000
112 Broad Street, Lagos	1,231,000	-	-	-	1,231,000
	<u>8,030,000</u>	<u>-</u>	<u>(0)</u>	<u>-</u>	<u>8,030,000</u>

11.3 INVESTMENT PROPERTIES NOT IN THE NAME OF AFRICAN ALLIANCE

FOR THE PERIOD ENDED 31 MARCH 2023

PROPERTIES	TITLE OF DOCUMENTS	DATE OF ACQUISITION	TITLE DOCUMENT NO	LOCATION	CARRYING AMOUNT N'000
Land at Pankere Village, Abijo	Deed of Assignment & Governor's Consent for Application to assignment between Land Owner and Conau Limited	Year 2008	N/A	Abijo GRA Ibeju Lekki, Lagos state	2,950,000

INVESTMENT PROPERTIES IN THE NAME OF AFRICAN ALLIANCE

FOR THE PERIOD ENDED 31 MARCH 2023

PROPERTIES	TITLE OF DOCUMENTS	DATE OF ACQUISITION	TITLE DOCUMENT NO	LOCATION	CARRYING AMOUNT N'000
Property Breadfruit Street Ma	Lagos State Government Land Certificate and Deed of Assignment	Year 1960	L03746	13/17 Breadfruit Street, Lagos	1,990,000
Property Rumuogba Layout, Aba road, Port Harcourt	Deed of Assignment & Certificate of Occupancy	Year 2008	N/A	Plot C4, Rumuogba Layout, Aba road, Port Harcourt	870,000
73 Oyemekun street, Akure	Certificate of Right of Occupancy	Year 1983	N/A	73 Oyemekun street, Akure	29,000
Property at Millennium Housin	Lagos State Government Allocation Letter	Year 2004	N/A	Block B House 9B Oba Adeyinka Oyekan Housing Estate Lekki, Lagos	75,000
Duplex at Sani Abacha Estate	Deed of Assignment between Federal Republic of Nigeria represented by EFCC and Conau Limited	Year 2008	N/A	2220 Suez Canal Crescent Sani Abacha Estate, Abuja	885,000
Property 112 Broad Street, La	Lagos State Government Land Certificate and Deed of Assignment	Year 1961	L03990	112 Broad Street, La	1,231,000
					0

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 31 March 2023**

12 Investment in subsidiary

The company's investment in subsidiary is as stated below:

	Actual 31-Mar-23 N'000	Company Actual 31-Dec-22 N'000
Axiom Air Limited (Note 12a)	3,000,000	3,000,000
Ghana Life Insurance Company Limited (Note 12b)	1,770,741	1,770,741
	4,770,741	4,770,741
Impairment allowance (note 12d)	(4,228,012)	(4,228,012)
	542,729	542,729

12a Axiom Air Limited:-

The movement in Axiom Air Limited is as follows:

At 1 January	3,000,000	3,000,000
Additions, during the period (capital injection)	-	-
Impairment allowance	(3,000,000)	(3,000,000)
	-	-

The company was incorporated on 17 July 2008 to carry on the business of airline owners and management, provide air transport for public use; to provide all necessary and or desirable services incidental to this objective, including booking, reservation, routing and ticketing services, baggage management, flight catering and entertainment and provision of hotel accommodation. The company is wholly owned.

12b Ghana Life Insurance Company Limited

The movement in Ghana Life Limited is as follows:

At 1 January	1,770,741	1,770,741
Additions, during the period (capital injection)	-	-
Impairment allowance	(1,228,013)	(1,228,013)
	542,728	542,728

The company is a subsidiary of African Alliance Insurance Plc. The company is domiciled in Ghana and is permitted by its regulation to carry on the business of life insurance.

12c Movement in the impairment in Ghana life is as follows

	Actual 31-Mar-23 N'000	Company Actual 31-Dec-22 N'000
At 1 January	1,228,013	1,228,013
Impairment charge/(written back) for the year	-	-
	1,228,013	1,228,013

12d Movement in impairment allowance in investment in subsidiary

At 1 January	4,228,013	4,228,013
Impairment charge/(written back) for the year	-	-
At 31 March	4,228,013	4,228,013

Movement in impairment charge

	At 1 Jan 2021	Additional charge	31-Mar-23
Axiom Air Limited	3,000,000		3,000,000
Ghana Life Insurance company	1,228,012	-	1,228,012
	4,228,012		4,228,012

	Actual 31-Mar-23 N'000	Company Actual 31-Dec-22 N'000
	-	-

13 Investment In associate

Investment in Pension Alliance Limited

	-	-
--	---	---

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 31 March 2023**

14	Intangible assets	Company	
		Computer Software	Total
		N'000	N'000
	Cost		
	At 1 January 2023	153,164	153,164
	Additions	13,438	13,438
	At 31 March 2023	166,601	166,601
	Amortisation		
	At 1 January 2023	119,804	119,804
	Charge for the period	3,503	3,503
	At 31 March 2023	123,306	123,306
	Net book amount		
	At 31 March 2023	43,295	43,295
	At 31 December 2022	33,360	33,360

14.1	Intangible asset	Company	
		Computer Software	Total
		N'000	N'000
	Cost		
	At 1 January 2022	134,307	134,307
	Additions	18,857	18,857
	At 31 December 2022	153,164	153,164
	Amortisation		
	At 1 January 2022	104,880	104,880
	Charge for the year	14,924	14,924
	At 31 December 2022	119,804	119,804
	Net book amount		
	At 31 December 2022	33,360	33,360

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 31 March 2023**

**15 Property and equipment
Company**

	Land	Building N'000	Motor Vehicles N'000	Furniture & Fittings N'000	Computer Equipment N'000	Office Equipment N'000	Total N'000
Cost							
At 1 January 2023	98,000	170,000	436,753	214,394	306,263	415,699	1,641,110
Additions	-	-	-	-	(6)	(1,016)	(1,022)
Disposal	-	-	-	-	-	-	-
Transfer from Investment Properties	-	-	-	-	-	-	-
Derecognition	-	-	-	-	-	-	-
Revaluation	-	-	-	-	-	-	-
At 31 March 2023	98,000	170,000	436,753	214,394	306,257	414,684	1,640,088
Depreciation							
At 1 January 2023	-	4,331	307,490 #	133,309 #	244,263 #	208,670	898,063
Charge for the year	-	-	15,103	3,920	7,663	8,651	35,336
Disposal	-	-	-	-	-	-	-
Elimination of accum dep on revaluation	-	-	-	-	-	-	-
Revaluation	-	-	-	-	-	-	-
At 31 March 2023	-	4,331	322,592	137,228	251,926	217,321	933,399
Net book amount							
At 31 March 2023	98,000	165,669	114,161	77,166	54,331	197,363	706,689
At 31 December 2022	98,000	165,669	129,263	81,086	62,000	207,027	743,045

Property and equipment

	Land	Building N'000	Motor Vehicles N'000	Furniture & Fittings N'000	Computer Equipment N'000	Office Equipment N'000	Total N'000
Cost							
At 1 January 2022	98,000	170,000	416,641	214,394	301,811	398,256	1,599,102
Additions	(0)	(0)	28,702	0	4,452	17,442	50,595
Disposal	-	-	(8,590)	-	-	-	(8,590)
Transfer from Investment Properties	-	-	-	-	-	-	-
Revaluation surplus	-	-	-	-	-	-	-
At 31 December 2022	98,000	170,000	436,753	214,394	306,263	415,697	1,641,108
Depreciation							
At 1 January 2022	-	950	256,204	115,792	207,109	171,311	751,366
Charge for the year	-	3,381	59,876	17,517	37,154	37,359	155,287
Disposal	-	-	(8,590)	-	-	-	(8,590)
Elimination of accum dep on revaluation	-	-	-	-	-	-	-
Revaluation	-	-	-	-	-	-	-
At 31 December 2022	-	4,331	307,490	133,309	244,263	208,670	898,063
Net book amount							
At 31 December 2022	98,000	165,669	129,263	81,086	62,000	207,027	743,045
At 31 December 2021	98,000	169,050	160,437	98,603	94,702	226,945	847,736

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 31 March 2023**

	Actual 31-Mar-23 N'000	Actual 31-Dec-22 N'000
16 Right of Use Assets		
At 1 January	23,490	42,252
Additions	165,036	62,129
Amortizations	(15,662)	(80,890)
	<u>172,864</u>	<u>23,490</u>

17 Statutory deposit

This represents 10% of the regulatory minimum share capital deposited with the Central Bank of Nigeria in accordance with the requirement of section a(i) and section 10(3) of Insurance Act. Interest Income earned on this deposit is included in investment income

	Company Actual 31-Mar-23 N'000	Actual 31-Dec-22 N'000
Statutory deposit	<u>200,000</u>	<u>200,000</u>
Non-current	<u>200,000</u>	<u>200,000</u>
18 Insurance contract liabilities		
GROSS		
Outstanding claims (see note i)	1,285,268	976,098
Unearned premiums (see note ii)	416,922	411,003
Short term insurance contract - Claims incurred but not reported (IBNR) (see note iii)	159,730	1,169,934
Liability on annuity fund (see note iv)	31,602,533	30,602,533
Liability on long term insurance contract - Life fund	<u>8,179,557</u>	<u>7,974,598</u>
<i>Total Insurance liabilities (Gross)</i>	<u>41,644,010</u>	<u>41,134,167</u>
Current	509,843	2,043,779
Non-current	<u>41,134,167</u>	<u>39,090,383</u>
	<u>41,644,010</u>	<u>41,134,162</u>
Recoverable from reinsurers	10,041,477	10,531,634
Claims reported and loss adjustment expenses	-	-
Unearned premiums	21,583	21,583
IBNR on Short term insurance contract	<u>91,533</u>	<u>91,533</u>
<i>Total reinsurers' share of insurance liabilities</i>	<u>113,116</u>	<u>113,116</u>
NET		
Claims reported and loss adjustment expenses	1,285,268	976,098
Unearned premiums	395,339	389,420
Claims incurred but not reported on Short term insurance contract	68,197	1,078,401
Liability on annuity fund	31,602,533	30,602,533
Liability on long term insurance contract (Life fund)	<u>8,179,557</u>	<u>7,974,598</u>
<i>Total Insurance liabilities (Net)</i>	<u>41,530,894</u>	<u>41,021,051</u>

(i) The movement in outstanding claims during the year was as follows:

	Company Actual 31-Mar-23 N'000	Actual 31-Dec-22 N'000
At 1 January	976,272	968,922
Additions claims incurred during the period (see note 32)	2,244,160	9,470,982
Exchange difference arising from translation		
Claims paid during the period	<u>(1,934,991)</u>	<u>(9,463,631)</u>
At 31 March	<u>1,285,268</u>	<u>976,272</u>

Age of outstanding claims

0 - 90 days	-	-
91 - 180 days	-	-
181 - 270 days	-	-
271 - 365 days	1,285,268	976,272
366 days and above	-	-
	<u>1,285,268</u>	<u>976,272</u>

(ii) The movement in unearned premium during the year was as follows:

	Actual 31-Mar-23 N'000	Company Actual 31-Dec-22 N'000
At 1 January	411,003	686,723
Change during the year	<u>5,919</u>	<u>(275,720)</u>
At 31 March	<u>416,922</u>	<u>411,003</u>

(iii) The movement in IBNR claims on Short term insurance during the year was as follows:

	Actual 31-Mar-23 N'000	Company Actual 31-Dec-22 N'000
At 1 January	1,169,934	915,330
Change during the year	<u>(1,010,204)</u>	<u>254,604</u>
At 31 March	<u>159,730</u>	<u>1,169,934</u>

(iv) The movement in annuity fund during the year was as follows:

	Actual 31-Mar-23 N'000	Company Actual 31-Dec-22 N'000
At 1 January	30,602,533	29,210,367
Change during the year	<u>1,000,000</u>	<u>1,392,166</u>
At 31 March	<u>31,602,533</u>	<u>30,602,533</u>

(v) The movement in life fund contract (excluding annuity) during the year was as follows:

	Actual 31-Mar-23 N'000	Company Actual 31-Dec-22 N'000
At 1 January	7,974,598	7,309,045
Exchange difference from translation		
Change during the year	<u>204,959</u>	<u>665,553</u>
At 31 March	<u>8,179,557</u>	<u>7,974,598</u>

(vi) Insurance contract liabilities at the end of the period were as follows:

	Actual 31-Mar-23 N'000	Company Actual 31-Dec-22 N'000
Outstanding claims	1,285,268	976,098
Unearned premiums	416,922	411,003
Short term insurance contract- IBNR	159,730	1,169,934
Liability on Annuity contract	31,602,532	30,602,532
Liability on long term insurance contract - Life fund	8,179,557	7,974,598
	<u>41,644,010</u>	<u>41,134,166</u>

19	Investment contract liabilities	The investment contract liabilities comprise interest-linked guaranteed investment funds. The movement in the investment contract liabilities is shown below:	
		Company	
		Actual 31-Mar-23 N'000	Actual 31-Dec-22 N'000
At 1 January		4,077,993	3,396,155
Deposits received during the year		13,374	642,676
Deposits Admin. No longer required			-
Withdrawals during the year		(149,776)	(55,411)
Guaranteed interest in the year		<u>62,207</u>	<u>94,573</u>
At 31 March		<u><u>4,003,797</u></u>	<u><u>4,077,993</u></u>
Non-current		<u><u>4,003,797</u></u>	<u><u>4,077,993</u></u>
Investment contract liabilities consist of group deposit administered funds and account balance of policy holders under investment linked insurance funds. Movement in the relevant funds are detailed below			
		Company	
		Actual 31-Mar-23 N'000	Actual 31-Dec-22 N'000
19.1 Liabilities on administered deposits			
At 1 January		103,948	114,191
Deposits received during the year		-	728
Deposit Adm. No longer required		-	
Withdrawals during the year		-	(12,000)
Guaranteed interest in the year		<u>-</u>	<u>1,029</u>
At 31 March		<u><u>103,948</u></u>	<u><u>103,948</u></u>
19.2 Investment linked fund			
At 1 January		3,974,045	3,281,964
Deposits received during the year		13,374	641,948
Withdrawals during the year		(149,776)	(43,411)
Guaranteed interest in the year		<u>62,207</u>	<u>93,544</u>
At 31 March		<u><u>3,899,849</u></u>	<u><u>3,974,045</u></u>
		Company	
		Actual 31-Mar-23 N'000	Actual 31-Dec-22 N'000
20	Trade payable		
Unallocated premium deposits		651,333	538,093
Due to co-insurance		15,918	3,929
Due To/from Reinsurance		43,897	62,943
Trade creditors		<u>336</u>	<u>336</u>
		<u><u>711,484</u></u>	<u><u>605,301</u></u>
Current		<u><u>711,484</u></u>	<u><u>605,301</u></u>

20i	Unallocated premium deposits	538,093	709,892
	At 1 January	113,240	(171,799)
	Movement during the year		
	At 31 March	651,333	538,093

The amount represent premium deposits for which policy holders are yet to be identified due to inadequate information. The Company has already set up a committee to review it and make recommendations to management. Please see below the age analysis of the payables

S/N	Age of Unallocated Premium Deposit	Company	
		31-Mar-23 N'000	31-Dec-22 N'000
1	0 - 90 days	-	-
2	91- 180 days	-	-
3	181-270 days	-	-
4	271 -365 days	651,333	538,093
5	366 days and above	-	-
		651,333	538,093

	Company	
	Actual 31-Mar-23 N'000	Actual 31-Dec-22 N'000
21 Other payables and accruals		
Agent savings	166,029	165,437
PAYE and other withholding taxes payable	92,169	112,450
Provisions and accruals	23,131	23,131
Rent receivable	141,979	123,196
Other creditors	200,625	218,337
	623,933	642,551
Current (Payable within the period)		

	Company	
	Actual 31-Mar-23 N'000	Actual 31-Dec-22 N'000
22 Retirement benefit asset	-	-
22i Retirement benefit liabilities		
Staff pension scheme	28,076	47,346
Staff defined benefit plan	-	-
	28,076	47,346

		Company	
		Actual 31-Mar-23 N'000	Actual 31-Dec-22 N'000
23	Borrowings		
	<i>Secured -at amortised cost</i>		
	Overdraft Facility		-
	Term Loan (i)	11,910	22,444
		11,910	22,444
Term loan represents a cash backed loan facility of N80million granted by First bank, the facility has a tenor of 24 months at an interest rate of 5%			
(i)			
(ii)	Movement in overdraft facility & Term Loan		
		Company	
		Actual 31-Mar-23 N'000	Actual 31-Dec-22 N'000
	At 1 January	22,444	54,034
	Additions	-	-
	Interest expense		
	Repayment	(10,534)	(31,590)
	At 31 March	11,910	22,444
24	Tax payable		
		Company	
		Actual 31-Mar-23 N'000	Actual 31-Dec-22 N'000
	<i>Company income tax payable:</i>		
	At 1 January	556,481	582,882
	Charge to profit and loss	8,637	3,599
		-	-
	Tax paid in the year		(30,000)
	At 31 March	565,118	556,481
	Current	565,118	556,481

25	Deferred tax liability	Company Actual 31-Mar-23 N'000	Actual 31-Dec-22 N'000
	The analysis of deferred tax liabilities is as follows:		
	Deferred tax liability to be incurred within 12 months	92,107	92,107
		<u>92,107</u>	<u>92,107</u>
	The movement on the deferred tax liabilities account is as follows:		
25a	At 1 January	92,107	92,107
	Tax charge recognised in other comprehensive income		
	Transfer of liabilities upon liquidation of subsidiaries	-	-
	Foreign exchange difference arising from translation		
	Income statement charge	-	-
	At 31 March	<u>92,107</u>	<u>92,107</u>
	Non- current	<u>92,107</u>	<u>92,107</u>
25b	Deferred tax asset		
	The movement on the deferred tax asset account is as follows:		
	At 1 January	146,476	146,476
	Excha		
	Foreign exchange difference arising from translation		
	Income statement charge	-	-
	At 31 March	<u>146,476</u>	<u>146,476</u>
	Non- current	<u>146,476</u>	<u>146,476</u>
26	Share capital	Actual 31-Mar-23 Number	Actual 31-Dec-22 Number
	<i>Ordinary Shares</i>		
26a	Authorised share capital ('000)	<u>30,000,000</u>	<u>30,000,000</u>
		N'000	N'000
26b	Paid up share capital of 20.585 billion ordinary shares of 50 kobo each	10,292,500	10,292,500
	Paid up/(Cancelled) during the year		-
	At 31 March	<u>10,292,500</u>	<u>10,292,500</u>
	<i>Number of shares</i>	31-Mar-23	31-Dec-22
	Shares at the beginning of the year('000)	20,585,000	20,585,000
	Paid up/(Cancelled) during the year ('000):		-
	At 31 March	<u>20,585,000</u>	<u>20,585,000</u>
26c	Share premium	Company Actual 31-Mar-23 N'000	Actual 31-Dec-22 N'000
	At 1 January	14,365,133	14,365,133
	Share Premium cancellation		
	Capital Restructuring account		
	At 31 March	<u>14,365,133</u>	<u>14,365,133</u>
27	Contingency reserves		
	At 1 January	1,922,694	1,854,545
	Transfer from retained earnings	<u>18,765</u>	<u>68,149</u>
	At 31 March	<u>1,941,460</u>	<u>1,922,694</u>
	In accordance with the insurance act, a contingency reserve is credited with the greater of 1% of total premiums or 10% of net profit. This shall accumulate until it reaches the amount of greater of minimum paid-up capital or 50 percent of net premium		
28	Retained earnings	Company Actual 31-Mar-23 N'000	Actual 31-Dec-22 N'000
	At 1 January	(39,607,166)	(32,421,386)
	Transfer to contingency reserves	(18,765)	(68,149)
	Profit/(Loss) for the period	<u>(1,718,970)</u>	<u>(7,117,631)</u>
	At 31 March	<u>(41,344,902)</u>	<u>(39,607,166)</u>

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 31 March 2023**

29	Fair value reserves	Company	
		Actual 31-Mar-23 N'000	Actual 31-Dec-22 N'000
	At 1 January	15,377,272	1,616,522
	Gain/(Derecognition) on revaluation on land and building		
	Change in value of FVOCI financial assets (net of taxes)	-	13,760,750
	Additional reserve on repurchase of PAL Pension Limited	-	-
	At 31 March	<u>15,377,272</u>	<u>15,377,272</u>
29a	Fair value changes-statement of comprehensive income	Company	
		Actual 31-Mar-23 N'000	Actual 31-Dec-22 N'000
	Gain/(Derecognition) on revaluation on land and building	-	-
	Change in value of available for sale financial assets (net of taxes)	-	13,760,750
	Additional reserve on repurchase of PAL Pension Limited	-	-
		<u>-</u>	<u>-</u>
		<u>-</u>	<u>13,760,750</u>
		Actual 31-Mar-23 N'000	Actual 31-Mar-22 N'000
30	Gross premium income		
	Individual life	705,799	809,939
	Group life	893,985	1,253,230
	Annuity	18,114	5,708
	Takaful	167,384	155,353
	Esusu	91,264	132,158
		<u>1,876,546</u>	<u>2,356,388</u>
	Gross premium written		
	Unearned premium		
	Group life	(5,919)	(152,752)
		<u>1,870,627</u>	<u>2,203,636</u>
31	Insurance premium ceded to reinsurers		
	Gross reinsurance expense	(66,302)	(67,816)
	Changes in prepaid reinsurance	-	-
		<u>(66,302)</u>	<u>(67,816)</u>
32	Fees and commission income		
	Group Life	19,138	-
	Individual Life	-	-
		<u>19,138</u>	<u>0</u>

Fee income represents commission received in direct business and transactions ceded to reinsurance companies during the year under review

33 Insurance claims and loss adjustment expenses

Insurance claims and loss adjustment expenses

Company	31-Mar-23		
	N'000 Gross	N'000 Reinsurance	N'000 Net
Individual life	413,552	-	413,552
Group life	165,610	-	165,610
Annuity	1,023,119	-	1,023,119
Takaful	95,270	-	95,270
Esusu	237,441	-	237,441
	<u>1,934,991</u>	<u>-</u>	<u>1,934,991</u>
Increase in the expected cost of claims for unexpired risks	309,169	-	309,169
	<u>309,169</u>	<u>-</u>	<u>309,169</u>
Claims incurred during the year	2,244,160	-	2,244,160
IBNR on Short term insurance contract	<u>(1,010,204)</u>	<u>-</u>	<u>(1,010,204)</u>
	<u>1,233,956</u>	<u>-</u>	<u>1,233,956</u>

Insurance claims and loss adjustment expenses

	31-Mar-22		
	N'000 Gross	N'000 Reinsurance	N'000 Net
Individual life	403,530	-	403,530
Group life	397,124	-	397,124
Annuity	1,090,743	-	1,090,743
Takaful	277,567	-	277,567
Esusu	<u>149,050</u>	<u>-</u>	<u>149,050</u>
	<u>149,050</u>	<u>-</u>	<u>149,050</u>
Claims paid during the year	2,318,013	-	2,318,013
Changes in outstanding claims	<u>(253,574)</u>	<u>-</u>	<u>(253,574)</u>
Claims incurred during the period	2,064,439	-	2,064,439
IBNR on Short term insurance contract	<u>(870,994)</u>	<u>-</u>	<u>(870,994)</u>
	<u>1,193,445</u>	<u>-</u>	<u>1,193,445</u>

34 Underwriting expenses

	Company	
	Actual 31-Mar-23	Actual 31-Mar-22
	N'000	N'000
Acquisition cost	202,430	174,426
Maintenance cost	<u>175,466</u>	<u>209,261</u>
	<u>377,896</u>	<u>383,687</u>

[illegible]

41 Employee benefit expenses

	Company	
	Actual 31-Mar-23	Actual 31-Mar-22
	N'000	N'000
Wages and salaries	159,149	111,082
Other Staff Cost	35,974	67,984
Defined contribution pension costs	11,447	10,841
Defined benefit pension cost	-	-
	206,570	189,906

42 Other operating and administrative expenses

	Company	
	Actual 31-Mar-23	Actual 31-Mar-22
	N'000	N'000
Directors' emoluments	-	7,000
Other Director Costs	-	18,667
Bank Charges	3,619	6,718
Auditors' remuneration	-	-
Depreciation	36,358	37,830
Amortisation on Rights of Use assets	15,662	2,687
Amortisation	3,503	2,328
NITDA	-	-
Consultancy expenses	43,852	26,359
Security	3,382	3,634
Rent and rates	7,475	669
General maintenance and running costs	34,558	38,194
Advert and Publicity	6,740	78,883
Telecommunications	4,018	2,047
Dues and Subscription	602	6,994
Travels and accommodation	49,780	68,989
Insurance supervision fees	-	-
Insurance expenses	11,495	14,607
Printing and stationeries	271	558
Industrial training fund	-	7,555
Entertainment	1,237	2,610
Regulatory levies	3,776	1,750
Loss on Disposal of investment	-	-
Foreign exchange loss	-	-
Nigeria Police Levy	-	-
Leasehold Amortization	5,278	-
Office ICT expenses	41,528	55,808
Donation	-	720
Office cleaning expenses	7,861	3,866
Medical expenses	-	-
Other regulatory fees and fines	-	-
Other Administrative Expenses	33,027	8,534
	314,020	397,006

43 ECL Allowance on cash and cash equivalents and Financial Assets

	Company	
	Actual 31-Mar-23	Actual 31-Mar-22
	N'000	N'000
Cash & Cash Equivalents	(17,751)	6,214
Amortised Cost-bonds	-	443
Agency Loans	4,011	-
Loans and Receivables	(3,080)	60
	(16,819)	6,717

44 Finance cost

	Company	
	Actual 31-Mar-23	Actual 31-Mar-22
	N'000	N'000
Interest expense on borrowings	-	-

45 Income tax expense

	Company	
	Actual 31-Mar-23	Actual 31-Mar-22
	N'000	N'000
Current tax on profits for the year (note 24)	8,637	27,482
Capital gains tax	-	-
Deferred tax charge for the year	-	-
	8,637	27,482